

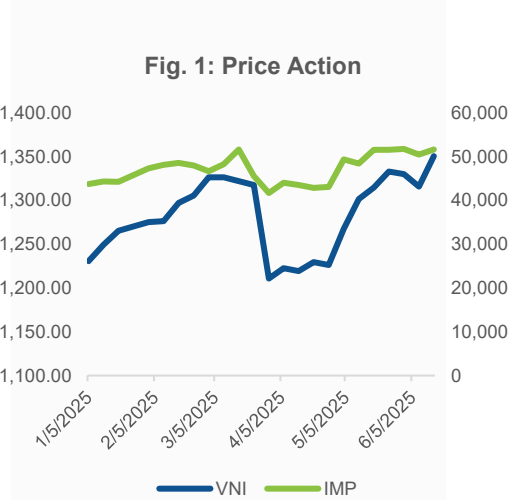
RECOMMENDATION: **BUY**

PROFILE	
Ticket Symbol	IMP
Market Capital (Billion VND)	7,885.26
Fully diluted shares (thousand stocks)	154.0
Free float (%)	25%
Beta	0.84
52Wk High (VND)	54,200
52Wk Low (VND)	33,000

Source: Vietstock

PERFORMANCE MANAGEMENT	
DSO (TTM) - Days	49 days
DIO (TTM) – Days	190 days
DPO (TTM) - Days	20 days
Total assets turnover (TTM)	0.9
ROA (TTM) - %	13.10%
ROE (TTM) - %	15.04%
ROIC (TTM) - %	14.04%
Gross profit margin (TTM)	38.80%
EBIT margin (TTM)	18.83%
EBITDA margin (TTM)	23.62%
EBT margin (TTM)	18.33%
Net profit margin (TTM)	14.55%

Source: Team analysis



Source: Investing

We initiate a **BUY** recommendation on **Imexpharm Corporation (IMP)** with a 12-month target price of **VND 60,600**, representing an **upside potential of 17.44%** from the market price of VND 51,600 as of June 15, 2025. Our recommendation is based on the weighted average outcome of a Sum-of-the-Parts (SOTP) valuation, incorporating both the core business and the future IMP5 project. Specifically, the core business valuation is derived from a combination of the Discounted Cash Flow (DCF) method (60%) and the Comparable P/E method (40%), while the IMP5 project is valued separately using the Comparable P/E method. This recommendation is supported by the following key investment highlights:

Expansion Opportunities Amid Undersupplied Domestic Market...

Currently, domestic pharmaceutical production meets only approximately 70% of demand by volume and 46.3% by value. In response, the Vietnamese government has set a target to increase the share of locally produced medicines to 75% by 2025 and 80% by 2030 through supportive policies and infrastructure transfer initiatives. Meanwhile, pharmaceutical demand continues to rise, driven by **[1]** strong demographic and economic growth, with per capita pharmaceutical spending projected to increase from USD 64 in 2024 to USD 90.3 by 2029; **[2]** surging demand for chronic disease treatments, expected to account for 76.6% of total pharmaceutical market revenue by 2025; **[3]** the implementation of expanded healthcare insurance coverage under the revised Health Insurance Law, effective from July 1, 2025.

Capitalizing on industry tailwinds, IMP proactively positions itself for growth by...

Securing a leading bidding position for domestic pharmaceutical firms by leveraging IMP’s network of EU-GMP-compliant manufacturing lines

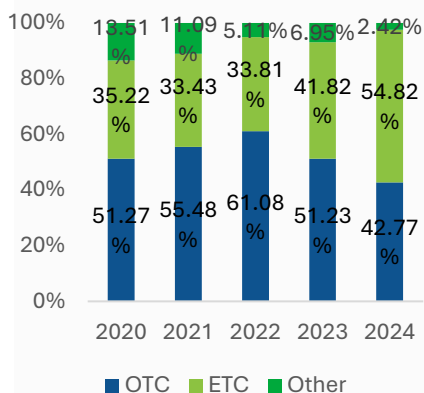
Imexpharm owns 12 EU-GMP certified production lines, making it one of the few domestic manufacturers to meet this high standard. This compliance ensures eligibility for high-tier hospital tenders under Circular 15/2022/TT-BYT and asserts its 10% share of the antibiotic market, reinforcing its dominance in the ETC segment.

IMP aims to diversify its product portfolio and enhance production capacity through the IMP5 project.

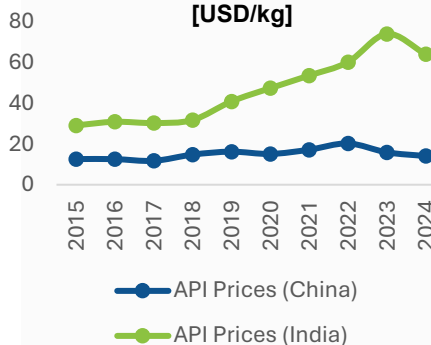
The IMP5 plant will be developed on a 97,600 m² site in Quang Khanh Industrial Cluster (Phase 1), with a designed capacity of 1.4 billion units per year. Built to EU-GMP standards, the project has a total investment of VND 1,495 billion and is scheduled to commence in Q4/2025, complete by end-2028, and enter phased operation from 2028 to 2030. This strategic investment will not only strengthen Imexpharm’s domestic position but also accelerate its export potential and global brand presence.

A new strategic momentum brought by industry heavyweight Livzon Pharmaceutical Group Inc

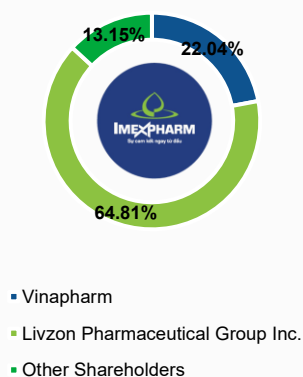
Livzon’s acquisition of a 64.81% stake equips Imexpharm with capital and R&D strength to accelerate the IMP5 project (2028), expand production, and enter ASEAN markets. Backed by Livzon’s strong financials, the deal supports IMP’s goal to triple revenue by 2030 and boost regional competitiveness.

Fig. 2 : Revenue Breakdown by Distribution Channel 2020/24 [%]

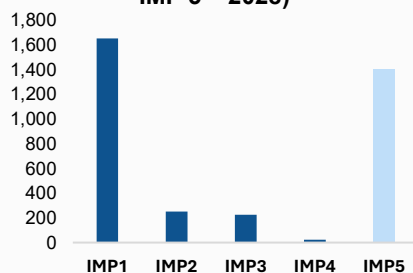
Source: IMP, Team Analysis

Fig. 3 : Trends in Imported API Prices from China and India [USD/kg]

Source: UN Comtrade

Fig. 4: IMP' Ownership structure (22/05/2025)

Source: IMP

Fig. 5: IMP Plant Capacities (incl. IMP 5 – 2028)

Source: IMP, Team Analysis

BUSINESS DESCRIPTION

Founded in 1977 as the precursor Dong Thap Level II Pharmaceutical Company, Imexpharm (HOSE: IMP) is one of Vietnam's leading domestic pharmaceutical manufacturers, with a core strength in antibiotics—where it holds a leading 10% market share. The company specializes in the production of high-quality bioequivalent generic drugs. Listed in 2006, Imexpharm currently operates four GMP-certified manufacturing facilities and a nationwide distribution network, comprising over 98 partners in the ETC channel and 17,500 OTC pharmacies.

Input Dependency: Heavily Reliant on Imported Raw Materials

Over 90% of Imexpharm's input materials are imported, mainly from China and India. As the primary API source, China is experiencing complex pricing shifts driven by KSM cost volatility, stricter NMPA standards, and tighter environmental regulations. From 2022 to 2024, API prices dropped to around USD 14 per kilogram, yet remain above pre-2018 levels, reflecting a new pricing norm shaped by regulatory and supply chain changes.

Manufacturing

Imexpharm operates four manufacturing facilities, including one WHO-GMP plant (1.65 billion units/year) and three EU-GMP plants with a combined capacity of ~500 million units. OTC products are produced at IMP1, while the other facilities supply the ETC channel. With 12 EU-GMP-certified lines, IMP is well-positioned in high-margin Group 1–2 hospital tenders. The IMP4 plant began operations in late 2023, adding 23.94 million units of injectable capacity annually. IMP5, targeted for 2028, will add 1.4 billion units per year to support specialty drug and export growth.

Output

Imexpharm's core products are antibiotics—leading the market with a 10% share and contributing 76% of 2024 revenue—and specialty drugs (33%), including Penicillin, Cephalosporin, β -lactam, and treatments for cardiovascular, diabetes, and gastrointestinal conditions. In 2024, the ETC channel contributed 55% of total revenue, backed by strong performance in over 600 high-tier hospital tenders (Groups 1–2), maintaining a leading 9.1 % market share. The OTC channel accounted for 45%, supported by a nationwide network of 17,500 pharmacies. Over the past three years, distribution growth has been driven by (1) expanding access to premium hospital tenders and (2) broadening retail coverage amid rising consumer demand.

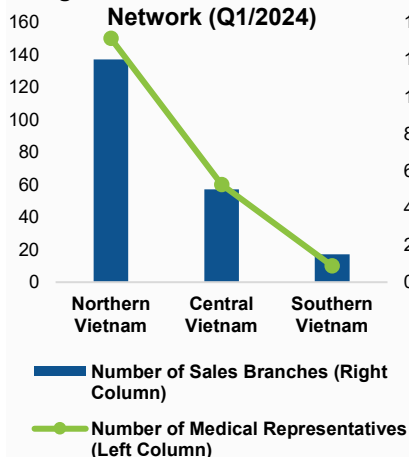
OWNERSHIP STRUCTURE

By end-2024, Imexpharm's ownership was fragmented, with 86.85% held by institutions. SK Investment Vina III led with 47.69%, followed by Vinapharm (22.04%), Binh Minh Kim (9.75%), and KBA Investment (7.37%). In May 2025, Livzon Pharmaceutical—a leading Chinese pharma group—acquired a 64.81% stake from three of these investors (Fig. 4), becoming the controlling shareholder. The deal marked a strategic shift, giving Imexpharm access to funding, technology, and global networks to support IMP5 and export expansion. The number of major shareholders dropped to two, indicating a higher ownership concentration.

CORPORATE STRATEGY**EU-GMP Expansion and Specialty Drug Growth**

Imexpharm pursues an integrated strategy focused on two core pillars: upgrading to EU-GMP manufacturing standards and expanding its specialty drug portfolio. With 12 EU-GMP certified lines, the company actively produces high-quality injectables and generics. The IMP5 project (Fig. 5), a VND 1,495 billion manufacturing complex in Cat Khanh, is set to support expansion into key therapeutic areas such as cardiovascular, diabetes, and gastrointestinal diseases, while also driving export growth and enhancing the global presence of Vietnam's pharmaceutical industry.

Fig. 6: IMP's Nationwide Sales Network (Q1/2024)



Focused Growth by Channel and Region

Imexpharm applies tailored strategies across channels to grow market share: In ETC, IMP targets Group 1–2 hospital tenders—especially in northern Vietnam—leveraging three EU-GMP plants (Fig. 6). In OTC, it focuses on expanding pharmacy reach and promoting common treatments like cough, digestive, pain relief, and supplements. Internationally, IMP pushes EU-GMP exports and partners with Genuone Sciences (South Korea) to build its ASEAN presence (2025–2030).

ESG

Environment

Imexpharm faces environmental exposure from energy use, emissions, and wastewater, with 2024 power consumption at 12,500 MWh and CO₂ emissions estimated at 7,125 tons. Recent EU-GMP investments (IMP3–IMP5) incorporate closed-loop systems and real-time monitoring. Based on MSCI's ESG Framework, the Environmental pillar of IMP scores 2.3/4.0 (Fig. 7).

Social

Imexpharm's social efforts focus on community access and human capital. In 2024, nearly VND 6 billion was spent on CSR in underserved areas, including rural OTC expansion. With 1,100+ employees—9% in R&D and robust training and benefits, the company maintains a low ~7% turnover rate. IMP's Social pillar scores 2.6/4.0 under MSCI ESG.

Governance

As of 2024, Imexpharm followed best-practice governance with a seven-member Board (2 independent, 1 female) and an experienced leadership team. However, Livzon's 64.81% acquisition in May 2025 raised concerns over board independence and minority rights, as major shareholders fell from four to two. Governance and IR functions are active, but ESG disclosures remain limited. IMP's Social pillar scores 2.0/4.0.

INDUSTRY OVERVIEW

Input - The pharmaceutical industry remains dependent on imported raw materials, largely from China and India.

Raw materials for the pharmaceutical industry include active pharmaceutical ingredients (APIs), excipients, additives, and auxiliary substances. Among these, APIs are the most crucial component of a drug, responsible for its therapeutic effect.

Regarding supply, Vietnam's pharmaceutical industry imports 90% of its raw materials, with 73.7% and 17% coming from China and India, respectively (Fig. 8). This is due to limited domestic production technology, which cannot meet the demand for self-sufficiency in raw materials.

Production - Factory Standards & Domestic Production Capacity

IMP is one of the 9% of enterprises with production facilities meeting EU-GMP standards: As of April 2025, there are approximately 302 drug manufacturing plants domestically (Fig. 9). Of these, 274 drug manufacturing plants meet the basic WHO-GMP standard, and 28 drug manufacturing plants meet the higher EU-GMP standard (Appendix: Drug Manufacturing Plant Standards). IMP currently owns 3 EU-GMP certified plants with the highest number of high-standard production lines, totaling 12 production lines.

Domestic production accounts for the majority of volume but has low value due to the inability to produce high-quality drugs: Domestically produced drugs currently account for 70% of the volume but only 44% of the value because they are primarily in the low-segment category. From 2019 to 2024, the proportion of domestically produced drugs increased from 36% to 44%. This is thanks to (1) Increased domestic production capacity; and (2) Enterprises increasing the number of internationally certified plants, expanding the portfolio of high-quality generic drugs.

Fig. 7: Environment, Social and Governance

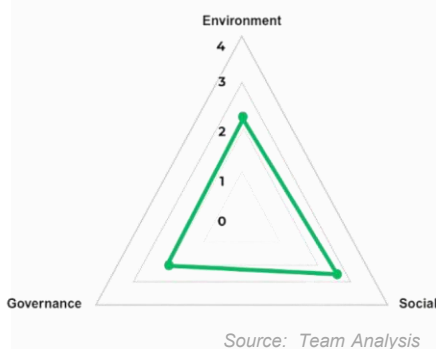


Fig. 8: Vietnam's Imported Pharma Raw Material & Excipient Share by Country

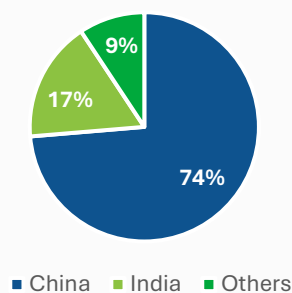


Fig. 9: EU-GMP and WHO-GMP Certified Domestic Production Sites

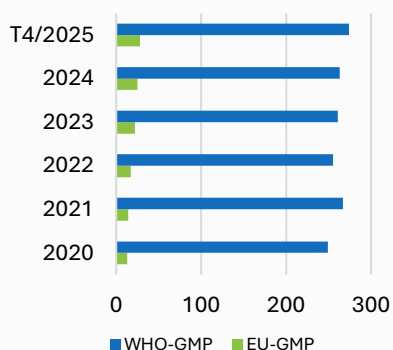
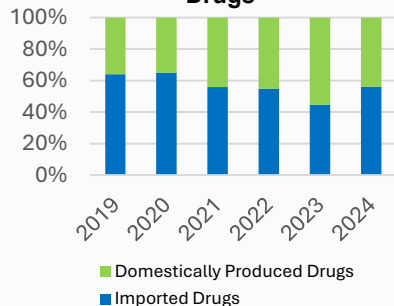
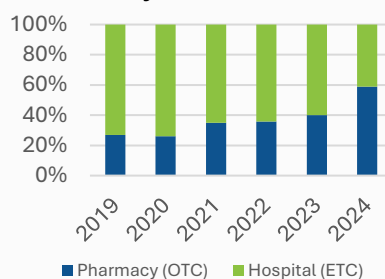


Fig. 10: Proportion of Imported Drugs and Domestically Produced Drugs



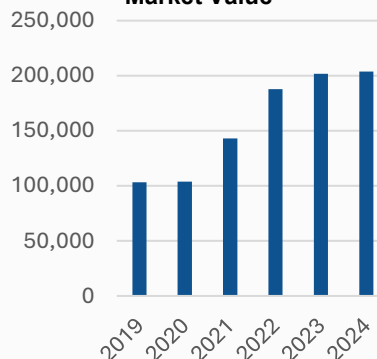
Source: IQVIA

Fig. 11: Pharmaceutical Market Structure by Distribution Channel



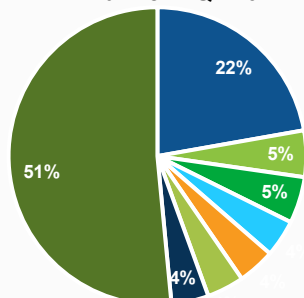
Source: IQVIA

Fig. 12: Vietnam Pharmaceutical Market Value



Source: IQVIA

Fig. 13: IMP's Antibiotic Tender-Winning Market Share in the ETC Channel – Q1/2024



Source: IMP, DAV

Output - ETC and OTC Channels

The Vietnamese pharmaceutical market reached a value of VND 203.827 trillion, growing at a CAGR of 14.6% during 2019-2024 (Fig.10). It is distributed through two channels: hospitals (ETC) and pharmacies (OTC). The OTC channel experienced faster growth, achieving a CAGR of +33.95% per year compared to +2.08% per year for the ETC channel during the same period (Fig. 11).

OTC Channel - Rapid growth led by modern pharmacy chains: From 2019 to 2024, the number of retail pharmacies grew at a CAGR of +2.81% per year, driven by: (1) The habit of most people to purchase medicines at pharmacies instead of going to hospitals due to convenience and speed; (2) The digitalization of the retail channel, with the strong development of modern pharmacy chains (Long Châu, Pharmacy, etc.) integrating e-commerce and home delivery, which has enhanced the customer experience and boosted purchase frequency.

ETC Channel - EU-GMP certified enterprises benefit in bidding due to policy and legal amendments:

- ETC channel growth is driven by increased demand for hospital treatment due to: (1) The health insurance participation rate increasing from 88.9% to nearly 95% during 2019-2024; (2) The amended Health Insurance Law 2024 (effective July 1, 2025) with policies expanding coverage, reducing barriers to referrals, and increasing choice of treatment facilities.

- Domestic enterprises benefit from drug bidding because: (1) Circular 03/2024/TT-BYT, effective from April 16, 2024, stipulates that each drug bidding package must have at least 3 domestic manufacturing enterprises meeting EU-GMP or equivalent standards, compared to no minimum quantity previously; (2) Circular 07/2024/TT-BYT, effective from May 17, 2024, prioritizes domestic enterprises in the public procurement list. Additionally, enterprises can more easily select the correct drug bidding package thanks to detailed classification of drug bidding groups such as generic drugs, branded drugs, etc., compared to the previous classification by only groups 1, 2, 3, or 4.

COMPETITIVE POSITIONING

Manufacturing Excellence and Early Standardization as Key Differentiators

Imexpharm's core competitive advantage lies in its high-quality manufacturing infrastructure, strong bidding capability, and well-defined strategic direction. The company currently operates three EU-GMP-certified manufacturing clusters with 12 production lines, enabling it to actively participate—and win—in Group 1 and 2 hospital tenders, which require stringent technical standards. In 2023, IMP was among the few domestic pharmaceutical companies to achieve notable success in this segment, securing nearly VND 675 billion in tender value, underpinned by its execution capability and well-standardized product portfolio. With current utilization at just 37–67% (2023), IMP retains significant headroom to scale up supply in the medium term. As the ETC tender market becomes increasingly competitive and quality-driven, IMP's early standardization and robust EU-GMP portfolio provide a sustainable competitive edge over peers.

Standing Out with Scalable Access and Controlled Cost Base

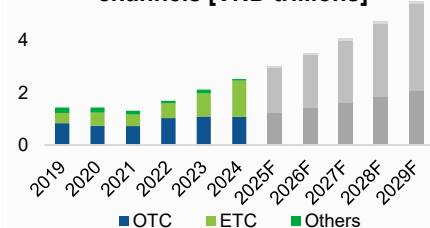
Amid rising ETC investments pushing SG&A-to-revenue ratios above 30% across many listed pharma peers (2021–2024 average), IMP stands out with a lean ~22% ratio, thanks to its cost-efficient “split-lot” bidding model. Under this approach, IMP focuses on manufacturing and compliance with high-standard tenders (notably Groups 1–2), while professional distributors handle hospital-level execution. This strategy enables IMP to penetrate over 600 provincial and central hospitals without significantly expanding its MRs or operational overheads—preserving margins and sustaining efficiency in the highly competitive ETC segment.

FINANCIAL ANALYSIS

KEY FINANCIAL RATIOS

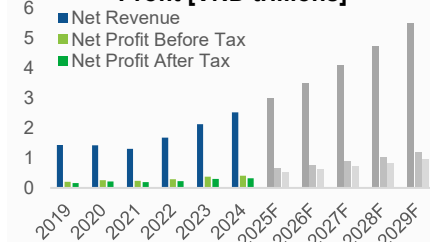
	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F	2028F	2029F
Profitability											
Net Revenue	1,402	1,369	1,267	1,644	1,994	2,205	2,985	3,487	4,060	4,713	5,456
Gross Profit Margin	37.64%	39.95%	38.53%	42.43%	40.65%	38.80%	42.68%	42.68%	42.68%	42.68%	42.68%
EBITDA Margin	17.42%	23.07%	23.25%	21.71%	23.25%	23.62%	24.36%	23.96%	23.61%	23.32%	23.07%
Liquidity & Leverage ratios											
Current ratio	2.97	2.83	2.88	2.89	3.92	4.38	5.18	5.67	6.10	6.49	6.84
Quick Ratio	1.64	1.61	1.67	1.75	1.65	2.19	2.45	2.91	3.33	3.71	4.05
Cash coverage ratio	65.52	58.42	53.58	94.05	76.82	149.25	152.84	144.69	138.28	132.79	128.00
Efficiency ratios											
DIO	140.71	171.92	214.78	178.94	175.07	189.93	174.52	184.33	184.62	184.88	185.11
DSO	57.22	78.48	83.81	53.09	44.66	49.27	50.61	55.51	55.60	55.68	55.75
DPO	41.71	33.41	35.73	34.45	24.12	19.95	22.79	27.04	27.08	27.12	27.15
CCC	156.22	216.98	262.86	197.59	195.61	219.25	202.34	212.80	213.14	213.44	213.71
Dupont analysis											
Profit Margin	11.58%	15.31%	14.93%	13.60%	15.02%	14.55%	17.41%	17.34%	17.27%	17.22%	17.18%
Asset Turnover (avg)	0.77	0.69	0.58	0.72	0.85	0.90	1.12	1.14	1.15	1.15	1.14
Equity Multiplier (avg)	1.18	1.20	1.25	1.24	1.17	1.15	1.14	1.14	1.14	1.14	1.14
ROE	10.60%	12.75%	10.73%	12.12%	15.06%	15.04%	22.19%	22.45%	22.52%	22.47%	22.30%

Fig. 14: Net revenue in channels [VND trillions]



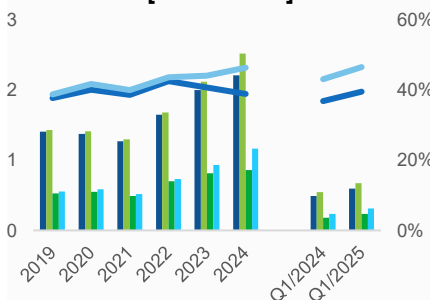
Source: IMP, Team analysis

Fig. 15: Net Revenue and Net Profit [VND trillions]



Source: IMP, Team analysis

Fig. 16: Gross Profit Margin [VND trillion]



Source: IMP, Team analysis

IMP has achieved solid growth driven by the breakthrough of the ETC channel and the recovery of the OTC channel post-pandemic. During the 2019 – 2024 period, IMP's net revenue recorded a CAGR of +9.47%, mainly fueled by the exceptional growth of the ETC channel with a CAGR of +28.89%, leveraging its competitive advantage in tendering activities thanks to its EU-GMP certified manufacturing plant. The OTC channel demonstrated stable growth with a CAGR of +5.16%, supported by the rebound in pharmaceutical demand as mobility restrictions during the Covid-19 period were lifted. Specifically, in 2020 and 2021, IMP's OTC revenue declined by -13% and -1% YoY, respectively, due to a product portfolio misalignment with Covid-19 treatment drugs. In 2024, OTC revenue slightly decreased by -0.8% YoY as IMP proactively reduced production output at the IMP1 plant (-9% YoY) to align with the softened market demand. Additionally, IMP's ETC revenue in 2021 dropped by -13.07% YoY as the entire pharmaceutical industry faced challenges stemming from the expiration of numerous drug registrations, limiting tender participation. In 2024, ETC revenue from partner channels is expected to reach approximately VND 1,116 billion (+62.4% YoY), driven by a 49% YoY increase in the number of ETC customers during the first half of the year. Regarding ETC operating expenses, IMP will record selling expenses for self-tendering and direct distribution to medical facilities, while allocating product lots to partners will allow IMP to save on these costs. This strategy has been increasingly adopted since 2023, as discounts to distributors were significantly raised to offset selling expenses. Accordingly, trade discount as a percentage of net revenue reached 5.98% in 2023 (+4.04 ppt YoY) and 13.92% in 2024 (+7.94 ppt YoY).

IMP's gross profit margin has consistently maintained a relatively stable performance, generally fluctuating within a narrow range of 37% to 42% throughout the 2019 – 2024 period. In 2021, however, IMP experienced a notable decline in gross profit margin to 38.53% (-1.42 ppt YoY), which was primarily attributed to the severe disruptions in global supply chains. These disruptions caused a substantial increase in the cost of raw materials, putting pressure on the company's profitability. Moving into 2023 and 2024, IMP's gross profit margin exhibited a clear downward trajectory, with figures recorded at 40.65% and 38.80% for each respective year. The main reason behind this decline was the sharp rise in the ratio of trade discounts to net revenue, which escalated to 5.98% in 2023 (+4.04 ppt YoY) and further climbed to 13.92% in 2024 (+7.94 ppt YoY). This increase was closely linked to the company's strategic decision to more frequently implement the lot allocation approach for partners in the ETC channel, a practice that became significantly more common in recent years.

Fig. 17: Profit Margin and SG&A

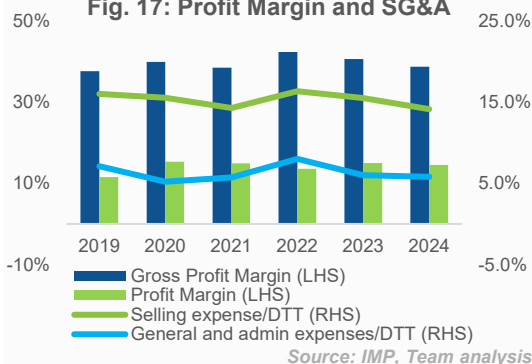


Fig. 18: Selling Expense and Trade Discount [VND billions]

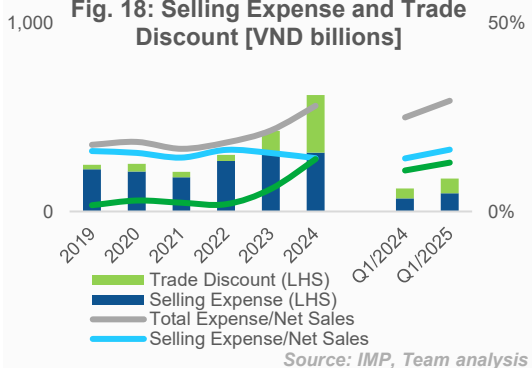


Fig. 19: Debt to Equity (D/E) and Time Interest Earned (TIE)

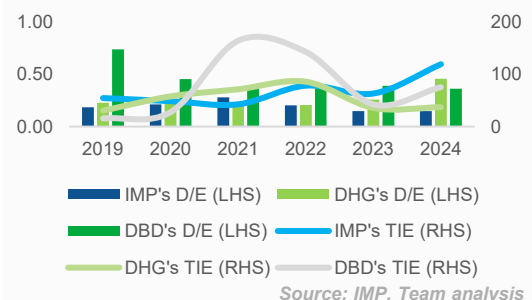


Fig. 20: IMP Dupont

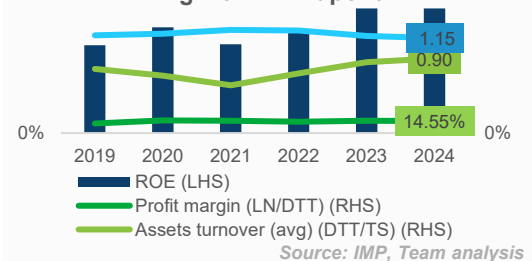
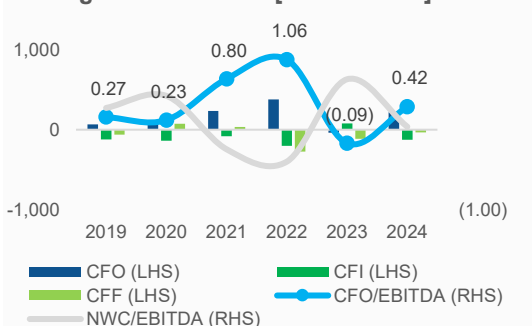


Fig. 21: Cash Flow [VND billions]

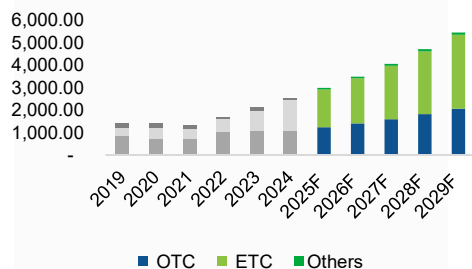


IMP's net profit has delivered impressive compound growth over the years: primarily supported by the company's ability to effectively balance cost management through reducing product marketing activities while simultaneously offering higher trade discounts via the lot allocation strategy for partners in the ETC channel. Throughout the 2019 – 2024 period, IMP's net profit margin expanded at a compound annual growth rate (CAGR) of +14.50%, reflecting consistent improvements in profitability. This strong performance was underpinned by the gradual decline in the ratio of selling expenses to net revenue, which dropped from 16.05% in 2019 to 14.15% in 2024. The reduction in selling expenses was driven by two key factors: (1) during the Covid-19 period, IMP suspended its product marketing events and conferences, resulting in substantial savings on marketing-related costs and (2) from 2023 onwards, IMP significantly increased trade discounts in the ETC channel as part of its strategic shift toward more frequent application of the lot allocation method for distribution partners. This approach not only provided cost advantages by lowering direct selling expenses but also became a vital part of IMP's long-term strategy to enhance distribution efficiency and improve financial performance.

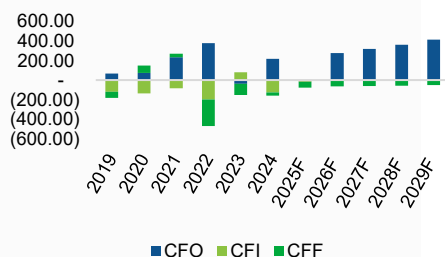
IMP has maintained a prudent capital structure with low debt levels and strong liquidity. During the 2019 – 2024 period, IMP's debt-to-equity ratio averaged 0.20. The current ratio and interest coverage ratio also remained at healthy levels, averaging 3.31 and 67.64, respectively, over the same period.

IMP's ROE remains less competitive due to low profit margins, conservative debt usage, and underutilized manufacturing capacity. In 2024, IMP's ROE is projected to reach 15.04%, lower than DHG and DBD, which are expected to achieve ROEs of 17.34% and 17.79%, respectively, as IMP operates with lower financial leverage, reflected in a Debt/Equity ratio of 0.15 compared to 0.35 and 0.37 for DHG and DBD. IMP's asset efficiency is also weaker, with an average total asset turnover of only 0.75, trailing behind DHG's 0.89 and DBD's 0.87, due to its plants operating at an average utilization rate of just 49.95% during the 2019 – 2024 period. We forecast IMP's ROE to improve to around 22% over the 2025F – 2029F period, driven by enhanced plant utilization supported by growth momentum from the expansion of both the OTC and ETC businesses.

IMP's operating cash flow (CFO) has remained stable over the years. In 2023, CFO recorded a temporary decline to -VND 39 billion due to inventory build-up following the commencement of operations at the IMP4 plant. In 2022, cash flow from investing activities (CFI) surged to -VND 199 billion from -VND 83 billion in 2021, primarily driven by significant capital expenditures (-VND 99 billion) and loan disbursements (-VND 451 billion), partially offset by loan repayments of VND 353 billion. Cash flow from financing activities in 2022 reached -VND 271 billion, a substantial increase compared to VND 34 billion in 2021, as IMP actively reduced debt levels, supported by surplus cash generated from operating activities.

Fig. 22: Revenue by Channel
[Billions]

Source: IMP, Team analysis

Fig. 23 : CASH FLOW
[Billions]

Source: IMP, Team analysis

Fig. 24: Result

Valuation method	Proportion	Result
Core Enterprise	58,700	
FCFE	60%	58,767
P/E Multiple	40%	58,533
IMP5 Factory (P/B)	1,942	
Target Price (SOTP)	60,600	

Source: Team analysis

Fig. 25: Cost of Equity

	5 years forward	Terminal
Terminal Growth Rate	2.50%	2.50%
Risk Free Rate	3.60%	3.60%
Forecast Levered Beta	0.59	0.59
Market Risk Premium	9.40%	9.40%
Cost of Equity	9.18%	9.18%

Source: Team analysis

VALUATION

We issue a **BUY** recommendation with a target price of **60,600 VND**, representing an upside of **17.44%** compared to the closing price of 51,600 VND on June 15, 2025. Our valuation is based on the Sum-of-the-Parts (SOTP) approach, comprising two components: DCF for the existing business and P/B for the IMP5 plant project. For the core enterprise, we apply a discounted cash flow (DCF) methodology using Free Cash Flow to Equity (FCFE), combined with a relative valuation using the P/E multiple, weighted 60% toward DCF and 40% toward P/E. For the IMP5 factory project, we apply a relative valuation using the P/B multiple.

OVERVIEW FORECAST

During the forecast period 2025F – 2029F, IMP's revenue is projected to grow at a CAGR of 16.27%, driven by robust expansion across both OTC and ETC channels. In the OTC segment, growth is supported by: [1] the retail pharmacy chain network expanding at a projected CAGR of 2.81%; [2] IMP's strategic expansion into the Northern region. In the ETC segment, revenue growth is underpinned by: [1] the 2024 amendment to the Health Insurance Law, which broadens reimbursement coverage; [2] IMP's EU-GMP-certified production lines, a key eligibility criterion for public hospital tenders under the new circular; and [3] the growth potential stemming from the IMP5 plant project.

In addition, the company's low financial leverage and strong liquidity provide the flexibility to expand production capacity and scale operations, thereby strengthening its competitive positioning and unlocking international growth opportunities. The recent acquisition by Livzon is expected to accelerate R&D efforts, enhance product quality, and facilitate access to new markets.

CORE ENTERPRISE

DISCOUNT CASH FLOW (DCF) | FCFE

We use Free Cash Flow to Equity (FCFE) as our valuation basis, given IMP's low leverage capital structure, which helps avoid potential errors in estimating the optimal capital structure and cost of debt. Based on our assumptions, the FCFE valuation yields a target price of **58,767 VND**, implying an upside potential of **13.89%** compared to the current price of 51,600 VND.

Assume terminal growth rate: The adjustment is anchored to a long-term inflation rate of 2% per annum, the same set by the US and China. However, we raise the long-term growth rate to 2.5%, reflecting the pharmaceutical sector's untapped potential and Imexpharm's solid fundamentals: [1] domestic production meets only approximate 70% of market demand, while consumption continues to grow via OTC and ETC channels; [2] the IMP5 plant investment supports product diversification, competitiveness, and export expansion.

Cost of equity: The estimated cost of equity, calculated using the CAPM model, is 9.04%, based on the following input assumptions [1] The risk-free rate is 3.6%, derived from the one-month Vietnam government bond repurchase rate published on June 11, 2025; [2] The forecast levered beta is 0.59; [3] The market risk premium is 9.4%.

Sensitive Analysis: The FCFE valuation outcome depends on assumptions regarding the terminal growth rate (g) and the cost of equity. Accordingly, we conduct a scenario analysis based on: [1] a long-term growth rate ranging from 1.75% to 3.25%; [2] a cost of equity ranging from 8.43% to 9.93%. The resulting valuation implies an IMP share price ranging from **VND 49,054 (-4.95%)** to **VND 74,072 (+43.55%)**, which corresponds to a BUY recommendation.

Fig. 26: Core Enterprise Relative Valuation (P/E)

Ticker symbol	Stock exchange	P/E
DHG	HOSE	15.82
DBD	HOSE	17.03
FIT	HOSE	18.75
OPC	HSX	14.49
TRA	HOSE	12.57
IMP	HOSE	17.66
Median		16.43

Source:: Vietstock

RELATIVE VALUATION | P/E

The relative valuation method, using the price-to-earnings (P/E) multiple approach, yields a median market P/E of 16.43x based on a selected peer group. To reflect Imexpharm's superior financial performance and growth outlook relative to its peers, we apply an adjustment factor of 1.06, resulting in a target P/E multiple of 17.35x. This premium reflects the company's strong fundamentals, including its consistent earnings growth, solid balance sheet, and strategic positioning within the pharmaceutical sector. Applying the target P/E to IMP's forecasted earnings, we derive a fair value estimate of VND 58,459 per share. This valuation implies an upside potential of 13.29% relative to the current market price, supporting our view that the stock remains undervalued at present levels and reinforcing our **BUY** recommendation.

IMP5 FACTORY PROJECT

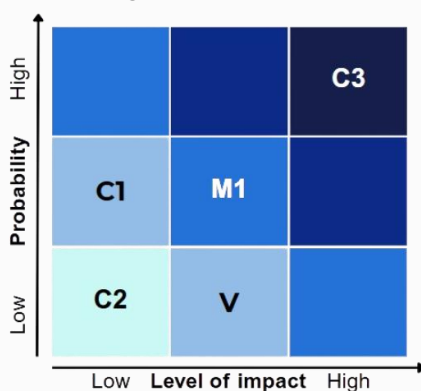
We separately value the IMP5 plant project using the relative P/B valuation method due to uncertainties surrounding the project's revenue and cash flows. Following a similar approach to the P/E method, the P/B valuation is based on a median market P/B of 2.45x and a financial performance adjustment factor of 0.8, resulting in a target P/B of 2x. Based on this method, we derive an estimated value for the IMP5 project of VND 3,885 per share, which contributes directly to the company's target stock price.

SCENARIO ANALYSIS

In addition, we conduct a Bull-Bear case scenario analysis. Under the Bear case, the company is assumed to maintain its current low utilization levels without further improvement, and the IMP5 project is expected to contribute no additional value. Under this scenario, we estimate Imexpharm's share price at **54,700 VND**, equivalent to a growth of **6.01%**. In the Bull case, we assume that IMP continues to ramp up plant utilization, driven by industry growth opportunities and export potential under its new ownership by Livzon. Furthermore, if the new plant performs in line with expectations, the valuation would support a target price of **66,500 VND**, implying an upside potential of **28.88%**.

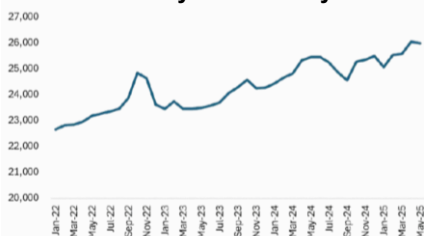
Sensitivity analysis		Terminal Growth Rate						
		1.75%	2.00%	2.25%	2.50%	2.75%	3.00%	3.25%
Cost of Equity	8.43%	60,745	62,534	64,468	66,565	68,847	71,339	74,072
	8.68%	58,437	60,076	61,842	63,752	65,822	68,075	70,536
	8.93%	56,293	57,799	59,417	61,161	63,046	65,091	67,315
	9.18%	54,297	55,683	57,169	58,767	60,489	62,351	64,369
	9.43%	52,433	53,683	55,081	56,549	58,127	59,827	61,665
	9.68%	50,689	51,873	53,137	54,488	55,938	57,527	59,174
	9.93%	49,054	50,152	51,321	52,569	53,904	55,335	56,873

Fig. 28: Risk Matrix



Source: Team Analysis

Fig. 29: USD/VND Exchange Rate from January 2022 to May 2025



Source: Investing, Team Analysis

INVESTMENT RISKS

Market Risk (M1) | Competitive Pressure and Shifting Demand Structure

Imexpharm faces strong price competition in the generic market, particularly in Group 2, as more EU-GMP-compliant products enter the domestic scene. At the same time, declining antibiotic use and a shift toward chronic disease treatments require portfolio restructuring, while antibiotics still contribute a large share of revenue.

Corporate Risk (C1) | Execution Risks at IMP5 Project

IMP5 is a strategic project with VND 1,495 billion in total investment, 80% financed by debt. Key risks include financial pressure from 6.6 to 9 percent interest rates, potentially extending the payback period. The 2025–2028 phase involves complex construction and EU-GMP certification, with each line requiring 12 to 24 months for validation. Its 1.4 billion unit capacity also demands market expansion to prevent underutilization. Labor shortages may arise due to the plant's location, where skilled technicians are limited.

Corporate Risk (C2) | Product Portfolio Transition Challenges

Imexpharm remains highly dependent on antibiotics, which made up 76.1% of 2024 revenue. However, stricter hospital prescribing under AMS and Circular 22/2023/TT-BYT has reduced demand and increased price pressure, especially on broad-spectrum products. Specialty and first generic drugs contributed only one-third of revenue, highlighting the need for a faster portfolio shift to sustain growth.

Corporate Risk (C3) | Exchange Rate Volatility

Imexpharm imports over 90% of its raw materials, primarily paid in USD, exposing input costs to exchange rate and supply chain risks. In 2024, a 3–4 percent rise in the USD/VND rate pressured margins. The company has yet to adopt widespread hedging tools, while risks are heightened by US-China trade tensions and stricter environmental regulations in China, its main API source.

Valuation Risk (V)

With a current P/E of 17.66 times, IMP is trading above the industry median, ranking just behind FIT. Given the high divergence in sector valuation—driven by differences in EU-GMP certification, OTC or ETC focus, and company scale—applying a relative valuation method using the industry median may undervalue IMP. This approach may not fully capture the firm's distinctive advantages, including high-standard manufacturing capacity and a solid financial foundation.

APPENDIX

FINANCIAL STATEMENT

INCOME STATEMENT

Unit: VND million

	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F	2028F	2029F	Terminal
Sales	1,428	1,421	1,301	1,676	2,114	2,513	-	-	-	-	-	-
Sales deductions	(26)	(51)	(35)	(33)	(120)	(308)	-	-	-	-	-	-
Net sales	1,402	1,369	1,267	1,644	1,994	2,205	2,985	3,487	4,060	4,713	5,456	6,300
Cost of sales	(875)	(822)	(779)	(946)	(1,184)	(1,350)	(1,711)	(1,999)	(2,327)	(2,701)	(3,127)	(3,611)
Gross Profit	528	547	488	697	811	856	1,274	1,488	1,733	2,011	2,328	2,689
Financial income	10	10	18	24	25	13	18	18	18	18	18	18
Financial Expenses	(19)	(20)	(18)	(29)	(31)	(25)	(38)	(44)	(52)	(60)	(70)	(81)
Interest expenses	(4)	(5)	(5)	(4)	(6)	(3)	(5)	(6)	(7)	(8)	(10)	(12)
Gain/(loss) from joint ventures	-	-	-	-	-	-	-	-	-	-	-	-
Selling expenses	(225)	(213)	(181)	(269)	(310)	(312)	(430)	(503)	(585)	(679)	(786)	(908)
SG&A expenses	(100)	(71)	(73)	(132)	(120)	(128)	(175)	(204)	(237)	(276)	(319)	(368)
Operating profit	194	253	234	291	374	403	650	756	877	1,015	1,171	1,349
Other incomes	8	3	6	1	3	2	-	-	-	-	-	-
Other expenses	(0)	(0)	(1)	(0)	(0)	(1)	-	-	-	-	-	-
Net other income	8	3	4	1	3	1	-	-	-	-	-	-
Income from investments in other entities	-	-	-	-	-	-	-	-	-	-	-	-
Net accounting profit before tax	202	255	239	291	377	404	650	756	877	1,015	1,171	1,349
Tax expenses	(40)	(46)	(50)	(68)	(78)	(83)	(130)	(151)	(175)	(203)	(234)	(270)
Tax rate	0	0	0	0	0	0	0	0	0	0	0	0
Tax – current	(40)	(46)	(50)	(68)	(78)	(83)	-	-	-	-	-	-
Tax – deferred	-	-	-	-	-	-	-	-	-	-	-	-
Net profit/(loss) after tax	162	210	189	224	300	321	520	605	701	812	937	1,080
Minority interest	-	-	-	-	-	-	-	-	-	-	-	-
Attributable to parent company	162	210	189	224	300	321	520	605	701	812	937	1,080
EPS	0	0	0	0	0	0	-	-	-	-	-	-
EPS diluted	0	0	0	0	0	-	-	-	-	-	-	-
EBIT	203	263	234	297	381	415	-	-	-	-	-	-
EBITDA	244	316	294	357	464	521	-	-	-	-	-	-

THE PROFESSIONAL FINANCIAL ANALYST 2025											IMEXPHARM	
BALANCE SHEET											Unit: VND million	
	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F	2028F	2029F	Terminal
CURRENT ASSETS	780	982	1,176	1,104	1,207	1,410	1,765	2,240	2,793	3,436	4,181	5,041
Cash and cash equivalents	75	85	271	179	106	162	84	297	554	860	1,220	1,643
Short-term investments	5	64	112	211	93	142	142	142	142	142	142	142
Accounts receivable	330	398	295	271	297	384	589	688	802	932	1,079	1,246
Inventories	350	424	492	436	699	705	931	1,088	1,267	1,470	1,702	1,965
Other current assets	19	11	5	7	12	17	19	24	28	33	38	44
LONG-TERM ASSETS	1,067	1,114	1,118	1,173	1,185	1,095	1,077	1,041	1,007	977	950	929
Long-term trade receivables	2	0	0	0	2	2	1	1	1	1	1	1
Fixed assets	477	503	510	489	936	859	795	730	665	597	529	461
Investment properties	-	-	-	-	-	-	-	-	-	-	-	-
Long-term incomplete assets	490	522	519	581	47	44	44	44	44	44	44	44
Long-term investments	52	52	51	71	71	67	69	69	69	69	69	69
Other long-term assets	46	37	38	33	129	124	167	196	228	264	306	353
TOTAL ASSETS	1,847	2,096	2,295	2,277	2,393	2,505	2,843	3,281	3,800	4,413	5,131	5,970
LIABILITIES	288	366	500	382	308	322	341	395	458	529	612	705
Current liabilities	262	347	409	382	308	322	341	395	458	529	612	705
Trade accounts payable	91	60	93	86	71	77	137	160	186	216	250	288
Advances from customers	21	27	25	34	6	17	41	48	56	64	75	86
Taxes and other payable to State Budget	9	16	20	28	22	36	40	47	55	64	74	85
Payable to employees	48	40	36	73	57	0	76	88	103	120	138	160
Accrued expenses	48	52	41	44	47	31	(77)	(90)	(105)	(122)	(141)	(163)
Other payables	3	7	5	5	21	34	(21)	(25)	(29)	(34)	(39)	(45)
Short-term borrowings	38	131	172	95	49	86	106	127	152	181	215	254
Provision for ST liabilities	-	-	-	-	-	-	-	-	-	-	-	-
Bonus and welfare funds	4	14	17	18	35	40	40	40	40	40	40	40
Long-term liabilities	26	19	92	-	-	-	-	-	-	-	-	-
OWNER'S EQUITY	1,559	1,730	1,794	1,894	2,085	2,183	2,502	2,885	3,342	3,883	4,520	5,265
Capital and reserves	1,559	1,730	1,794	1,894	2,085	2,183	2,502	2,885	3,342	3,883	4,520	5,265
TOTAL RESOURCES	1,847	2,096	2,295	2,277	2,393	2,505	2,843	3,281	3,800	4,413	5,131	5,970

CASH FLOW STATEMENT

Unit: VND million

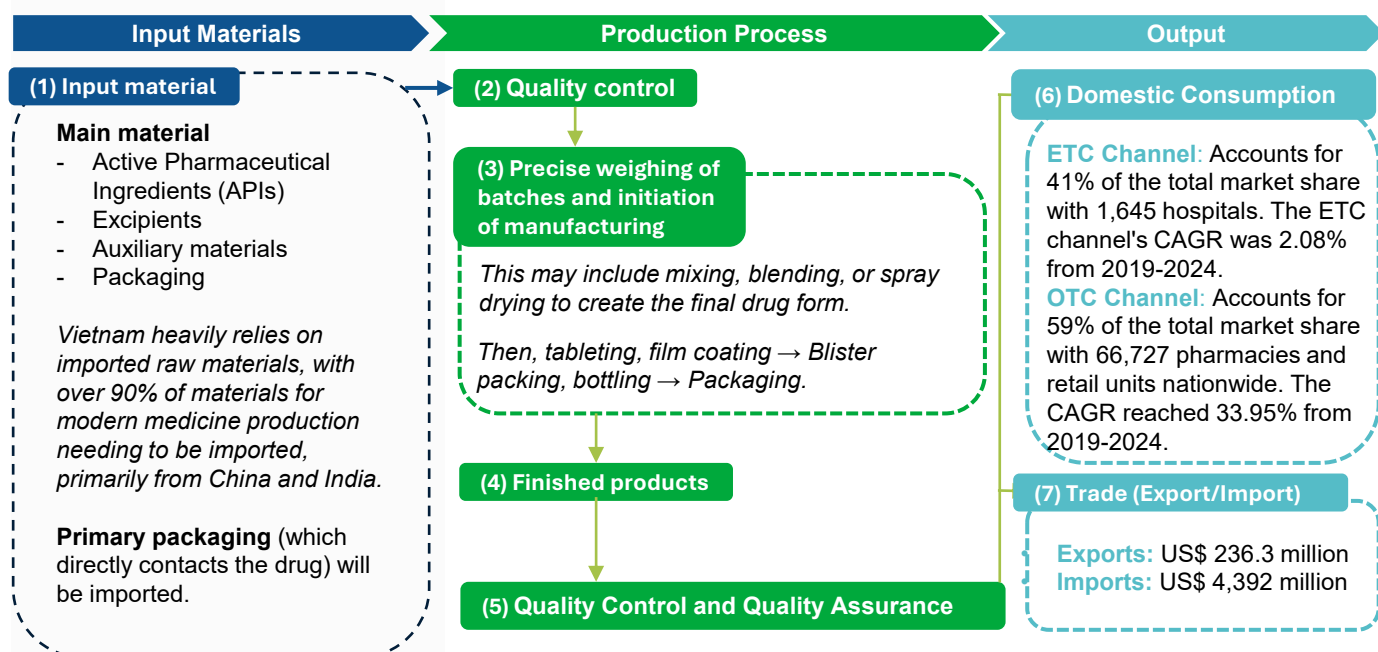
	2019	2020	2021	2022	2023	2024	2025F	2026F	2027F	2028F	2029F	Terminal
Attributable to parent company	162	210	189	224	300	321	520	605	701	812	937	1,080
Depreciation and amortization	41	53	60	60	83	106	73	74	75	76	77	77
Provisions	1	4	(9)	5	(2)	2	3	1	1	1	2	2
Investment in Net Working Capital	(97)	(178)	50	121	(367)	(73)	(434)	(225)	(256)	(292)	(332)	(377)
Other adjustments	(41)	(16)	(55)	(31)	(52)	(139)	(172)	(178)	(204)	(235)	(270)	(311)
NET CASH FROM OPERATING ACTIVITIES	67	73	235	379	(40)	216	(11)	278	318	363	413	470
Purchases of fixed assets and other long-term assets	(131)	(90)	(53)	(99)	(64)	(97)	(9)	(9)	(9)	(9)	(9)	(9)
Proceeds from disposal of fixed assets	9	5	9	1	3	5	-	-	-	-	-	-
Loans granted, purchases of debt instruments	(22)	(106)	(247)	(451)	(383)	(267)	-	-	-	-	-	-
Collection of loans, proceeds from sales of debts instruments	26	48	196	353	501	218	-	-	-	-	-	-
Investments in other entities	(11)	-	-	(20)	-	-	-	-	-	-	-	-
Proceeds from divestment in other entities	-	-	2	-	-	6	-	-	-	-	-	-
Dividends and interest received	7	7	10	18	22	8	-	-	-	-	-	-
NET CASH INFLOWS/(OUTFLOWS) FROM INVESTING ACTIVITIES	(121)	(136)	(83)	(199)	79	(127)	(9)	(9)	(9)	(9)	(9)	(9)
Proceeds from issue of shares	-	30	-	-	-	-	-	-	-	-	-	-
Payments for share returns and repurchases	(0)	-	-	-	-	-	-	-	-	-	-	-
Proceeds from borrowings	219	409	325	60	230	388	522	580	675	782	904	1,043
Repayment of borrowings	(181)	(316)	(190)	(232)	(275)	(351)	(503)	(559)	(650)	(753)	(871)	(1,004)
Finance lease principal payments	-	-	-	-	-	-	-	-	-	-	-	-
Dividends paid	(99)	(49)	(100)	(100)	(67)	(70)	(77)	(77)	(77)	(77)	(77)	(77)
Interests, dividends, profits received	-	-	-	-	-	-	-	-	-	-	-	-
NET CASH INFLOWS/(OUTFLOWS) FROM FINANCING ACTIVITIES	(61)	74	34	(272)	(112)	(33)	(58)	(55)	(52)	(48)	(43)	(38)
NET INCREASE IN CASH AND CASH EQUIVALENTS	(115)	10	186	(92)	(73)	56	(77)	213	257	305	361	423
Cash and cash equivalents at the beginning of period	190	75	85	271	179	106	162	84	297	554	860	1,220
Effect of foreign exchange differences	(0)	(0)	(0)	(0)	(0)	0	-	-	-	-	-	-
Cash and cash equivalents at the end of period	75	85	271	179	106	162	84	297	554	860	1,220	1,643

GMP STANDARDS IN PHARMACEUTICAL MANUFACTURING

To be qualified for drug manufacturing, a facility must meet at least WHO-GMP standards or higher standards such as EU-GMP or Japan-GMP. The WHO-GMP standard, issued by the World Health Organization, clearly outlines requirements for quality management systems; production area segregation and cross-contamination control; equipment maintenance; sanitation and sterilization procedures; documentation and record management; raw material traceability; and internal self-inspection. These measures ensure product consistency and stability. In contrast, EU-GMP, issued by the European Commission in EudraLex Volume 4 under Directive 2003/94/EC, adds more stringent requirements. These include comprehensive quality risk management, detailed process validation and qualification (IQ/OQ/PQ), data integrity assurance, and cleanroom classification by grade, all of which enhance reputation and global market competitiveness.

Criteria	WHO-GMP Standard	EU-GMP Standard
Issuing Authority	World Health Organization (WHO)	European Commission
Scope of Application	General guidelines for pharmaceutical and active ingredient manufacturers worldwide	Mandatory for all pharmaceutical manufacturing sites within the European Union, detailed in EudraLex Volume 4
Quality Management System	Requires establishment of a basic quality assurance system, including process documentation and document control	Requires a comprehensive quality management system covering all aspects from design to production, distribution, and product recall
Process Qualification & Validation	Encourages validation of manufacturing processes, but does not detail methodology or frequency	Requires detailed qualification and validation (including IQ, OQ, PQ) prior to operation and periodic revalidation
Data Integrity	Provides general requirements for record keeping and traceability; limited emphasis on electronic system controls	Specifically mandates data integrity assurance, including ALCOA principles and electronic audit trails
Environmental Control	Basic requirements for clean production areas, without detailed cleanroom classification	Cleanrooms classified into grades A, B, C, D; continuous monitoring of microbiological and physical parameters; procedures to maintain environmental stability
Self – Inspection	Encourages internal audits but does not mandate frequency or scope	Requires scheduled internal inspections with detailed plans and corrective action reports
Quality Risk Management	Recommends risk assessment based on general guidance	Mandatory application of comprehensive risk assessment procedures at all stages, based on international risk management standards

PHARMACEUTICAL INDUSTRY VALUE CHAIN

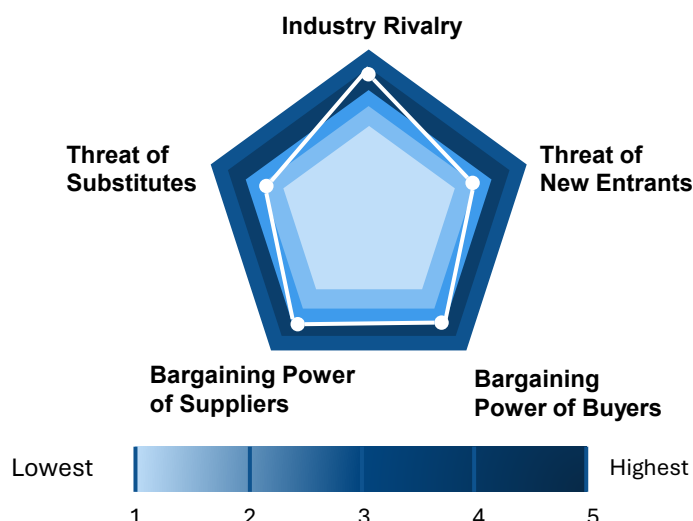


FIVE FORCES ANALYSIS OF THE PHARMACEUTICAL INDUSTRY

CONCLUSION

IMP benefits from high entry barriers for new competitors and limited threats from substitutes. While facing intense industry rivalry, particularly in the ETC channel, its EU-GMP facilities provide a key advantage. Buyers exert moderate power, but IMP's certified production lines and diverse product portfolio offer negotiating leverage. Supplier power is also moderate due to import reliance, though strong relationships help secure favorable terms. IMP has:

- [1] Competitive Rivalry HIGH
- [2] Threat of Substitutes LOW
- [3] Bargaining Power of Suppliers HIGH
- [4] Bargaining Power of Buyers HIGH
- [5] Threat of Substitutes LOW



Industry Rivalry

IMP faces high competitive pressure from both domestic rivals and imported drugs, especially in the ETC channel, where bidding prices are capped at or below import prices. However, IMP maintains a strong competitive edge due to its EU-GMP certified factories, providing an advantage in bidding for hospital groups 1 and 2. Additionally, the new IMP5 plant (expected to be operational in 2027) can expand IMP's product portfolio beyond antibiotics to include cardiovascular and diabetes medications. In the long run, this advantage might gradually diminish as more domestic competitors upgrade their facilities to EU-GMP standards.

Threat of New Entrants

Barriers to entry in the pharmaceutical industry are high, primarily due to the substantial investment required for EU-GMP certified facilities, the complex drug registration process, the need to participate in hospital bidding, and the lengthy timeframes for obtaining quality certifications (EU-GMP, PIC/S-GMP). Simultaneously, multinational pharmaceutical corporations could enter the market through mergers and acquisitions, bringing advanced technology and premium product portfolios, posing a potential competitive risk in the high-value segment.

Bargaining Power of Suppliers

Vietnam maintains a high dependency on imported raw materials, mainly from China and India, because the domestic pharmaceutical chemical industry lacks the capacity for API synthesis. The concentration of the raw and auxiliary material market among a few suppliers diminishes the bargaining power of IMP and other domestic pharmaceutical companies. However, IMP's large import volumes and long-standing relationships allow it to negotiate favorable terms regarding prices and delivery schedules.

Bargaining Power of Buyers

In the ETC channel, there's significant pressure from centralized bidding, with winning bid prices often not exceeding import prices. Meanwhile, in the OTC channel, modern pharmacy chains hold the dominant position in negotiations, forcing IMP to provide an average discount of 10% on revenue. Nevertheless, IMP's 11 EU-GMP certified production lines and diverse portfolio of prescription drugs are crucial advantages. These enable the company to negotiate better prices with hospitals/health insurance providers and optimize discounts by focusing on high-quality products.

Threat of Substitutes

IMP's beta-lactam antibiotic portfolio currently faces limited direct competition from substitute products within the same therapeutic group. Alternative options like prophylactic vaccines, monoclonal antibody therapies, and new-generation antibiotics remain restricted in scope and are strictly regulated. In the short term, the likelihood of switching to these alternative therapies is low, maintaining the advantage for traditional beta-lactam solutions. In the medium and long term, the trend towards biologics and new-mechanism antibiotics could increase pressure. However, with its diversified product portfolio and extensive distribution system, IMP is well-positioned to maintain its competitive advantage and market reliability.